

Never ever invest 'just' to save tax. You must understand that you earn the gains of an investment, while tax saving is a bi-product. Of course, if you see that two investment options provide similar returns, meet your goals and have similar liquidity and risks, then you may want to choose the one with more tax saving potential, but tax saving is just one secondary element of an investment.

I may have said this earlier in this book but this fact deserves a second, or maybe a third drill, because in our country, tax saving is often taken as the primary reason for investment – be it investing in a life insurance policy to save tax under Section 80C, buying real estate to utilise the tax free limit of ₹2 Lacs in interest or even getting into NPS because of additional tax savings.

With that in mind, go ahead and do your best as far as increasing your net take home income by saving taxes. However, remember that tax saving is a by-product and only has a 'FAIR' or 'MODERATE' impact on your overall wealth accumulation.

Lever 4 : Increase your Returns on Investments (RoI) / Make your Money Work Hard

This is the most powerful, and ironically, the most ignored lever to generate huge wealth. Let me give you my own example to demonstrate its power. You should be able to relate it to your life.

I used to earn ₹75,000/- per month in the year 2006, and was completely career focussed with most of my productive time committed to my profession – in an attempt to get a good appraisal, good rating and hence a good increment. In a nutshell, that is what most of us feel. Even an entrepreneur is focussed and committed to increasing the revenue and profitability. This is all what you do to take care of the first lever.

I really worked hard and I also got a decent 12% increment in my income that year, which was approximately ₹9,000/- per month. Post tax deduction, this meant an effective increment of approximately ₹6,000/- per month. This came out to be ₹72,000/- annual increment. While I felt happy about it, what I was completely ignoring was the 4th lever which was the return on